

August 2, 2026 10:53 PM GMT

Greater China Technology Hardware | Asia Pacific

Automation – Read-across from China's July Manufacturing PMI

In this report, we focus on China's manufacturing PMI, which we see as a potential catalyst for Airtac's and Hiwin's share prices.

China's manufacturing PMI dropped to 49.2 in July from 50.3 in June:

- This came in lower than both our estimate and consensus of 50.1.
- The major drag was from the production (-1.5ppt MoM to 49.9) and new orders (-2.7ppt MoM to 48.5), while export was relatively resilient (new export orders (-0.5ppt MoM to 49.6).
- Our macro team pointed out that there might be room for broader easing this fall, if the July-August growth disappoints, since the government has urged faster execution of the Rmb2tn fiscal impulse in 2H26.

Our view:

- We think the softer Chroma manufacturing PMI might weigh on the near term sentiment toward the names in the industrial automation space, especially those with high exposure to China, though we will closely monitor whether this develops into a trend in the coming months.
- In the automation group in Taiwan, we like Airtac and Hiwin as they got their company specific drivers on top of the overall market dynamics:
 - Airtac (1590.TW, OW) should continue to benefit from its own share gains and incremental contribution from linear guides. Valuation appears undemanding at 19x 2027e P/E (vs. the 25x average since 2020).
 - Hiwin (2049.TW, OW) should show more margin expansion in coming quarters, supported by higher utilization and price hikes. We see potential share price upside at the current 28x 2027e P/E vs. peak cycle valuation of 35-40x.

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**GREATER CHINA TECHNOLOGY HARDWARE**

Asia Pacific

Industry View

In-Line

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
AirTAC International 1590.TW			
China July Manufacturing PMI	31 Jul 2026	Unchanged	↓ Modest downside surprise
Hiwin Technologies Corp. 2049.TW			
China July Manufacturing PMI	31 Jul 2026	Unchanged	↓ Modest downside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

AirTAC International (1590.TW)

Base case, 29x 2027e P/E. We believe this methodology better captures earnings growth momentum for industrial automation component plays (market sentiment moves along with business cycles). As the industry enters an up-cycle, we think applying a near-peak cycle valuation of 29x P/E is reasonable given the stronger business outlook.

Risks to Upside

- Stronger macroeconomic climate in China
- Stronger-than-expected demand from industrial automation

Risks to Downside

- Sharper economic downturn in China
- Miniature linear guideway business development taking more time
- Larger-than-expected investment in new products but weaker-than-expected demand

Hiwin Technologies Corp. (2049.TW)

Base case, P/E. We think this valuation methodology better captures Hiwin's earnings growth momentum, as its valuation tends to move with the business cycle. We apply a target multiple of 37x to our 2027 EPS estimate. We view this multiple as justified by the 44% operating profit CAGR we project for 2025-28.

Risks to Upside

- Stronger industrial automation demand pickup.
- Market share gains.
- Earlier-than-expected revenue contribution from humanoids.

Risks to Downside

- Weaker industrial automation demand.
- More pricing pressure.
- Market share loss.
- More broad-based impact on the global economy from geopolitical risks.

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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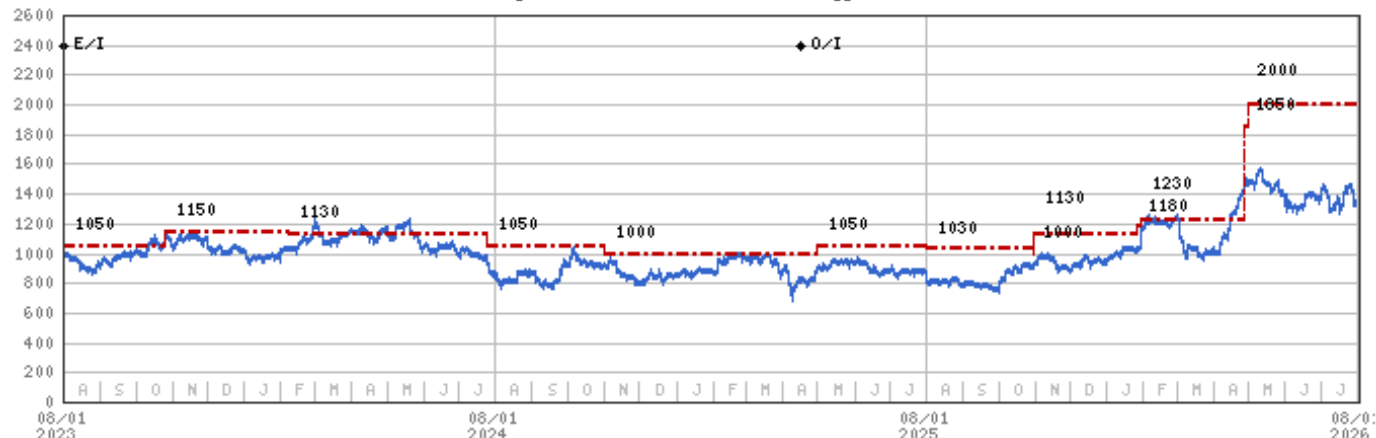
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Stock Price, Price Target and Rating History (See Rating Definitions)

AirTAC International (1590.TW) - As of 08/02/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : O/I; 11/8/21 : E/I; 1/11/22 : O/I; 8/4/22 : E/I; 4/16/25 : O/I

Price Target History: 4/29/21 : 1567.27; 8/5/21 : 1379.98; 10/4/21 : 1300; 11/8/21 : 870; 1/11/22 : 1250; 3/24/22 : 1150; 8/4/22 : 850; 10/27/22 : 600; 1/16/23 : 1050; 2/8/23 : 1100; 4/26/23 : 1150; 7/28/23 : 1050; 10/26/23 : 1150; 2/7/24 : 1130; 7/25/24 : 1050; 11/1/24 : 1000; 4/30/25 : 1050; 8/1/25 : 1030; 10/30/25 : 1000; 10/31/25 : 1130; 1/27/26 : 1180; 1/30/26 : 1230; 4/28/26 : 1850; 4/30/26 : 2000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Hiwin Technologies Corp. (2049.TW) - As of 08/02/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : O/I; 8/11/22 : E/I; 2/21/23 : O/I; 8/11/23 : E/I; 5/12/25 : U/I; 2/27/26 : E/I; 3/30/26 : O/I

Price Target History: 1/20/21 : 556.84; 8/5/21 : 480.04; 10/5/21 : 479.6; 2/28/22 : 341.16; 3/24/22 : 301.61; 7/20/22 : 295; 8/11/22 : 230; 11/21/22 : 200; 2/21/23 : 295; 2/27/23 : 283; 5/10/23 : 280; 8/11/23 : 205; 11/13/23 : 220; 2/27/24 : 210; 8/13/24 : 205; 11/12/24 : 225; 2/27/25 : 310; 5/12/25 : 160; 2/27/26 : 210; 3/30/26 : 300; 4/28/26 : 380; 5/11/26 : 400

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/31/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$38.54
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb161.65
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.48
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.95
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.72
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb396.01
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$481.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb23.10
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.66
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb37.65
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,035.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.79
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.40
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb57.48
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.22
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.88
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb45.28
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$31.62
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb64.47
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$56.05
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb171.01
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.59
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$28.78
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb271.50
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$96.75
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb88.01
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.29
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb902.01
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$24.86
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb33.81
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,125.00
Advantech (2395.TW)	O (01/20/2021)	NT\$563.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,325.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,320.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$24.20
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$902.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,100.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.51
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,045.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,100.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,640.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$189.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$48.05
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,350.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$304.50
Innolux (3481.TW)	E (04/07/2025)	NT\$45.50
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$7,850.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb31.58
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$209.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.73
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.47

Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb191.00
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$28.85
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$810.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$183.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$36.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$4.70
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb56.70
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$336.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$793.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$250.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb71.81
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$1,630.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$23.86
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,855.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$920.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$84.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$291.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb105.64
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb308.00
Unimicron (3037.TW)	O (02/23/2026)	NT\$787.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$292.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$176.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$5,390.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$502.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$413.50

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* Historical prices are not split adjusted.